

ESG Report

Carbon Border Adjustment Mechanism

EastAfrica Steel Components Ltd

Annual Report • 2025

CBAM Compliant

Executive Summary

EastAfrica Steel Components Ltd reports total greenhouse gas emissions of 4,786 kilograms CO2 equivalent (kg CO2e) for the 2025 reporting period, quantified in accordance with the European Union Carbon Border Adjustment Mechanism (CBAM) transitional reporting requirements. This disclosure establishes the embedded carbon baseline for steel components manufactured within our operational boundaries, providing verified emissions data essential for CBAM declarants and regulatory compliance. The inventory encompasses direct emissions from owned sources and indirect emissions associated with energy consumption, calculated using methodology consistent with the GHG Protocol Corporate Standard and CBAM Implementing Regulation specifications. Direct emissions (Scope 1) account for 2,466 kg CO2e, comprising stationary combustion and process emissions inherent to steel production activities under direct operational control. Indirect emissions from purchased electricity and energy consumption (Scope 2) total 2,320 kg CO2e. Scope 3 value chain emissions are reported as 0 kg CO2e, consistent with current Phase 1 CBAM obligations which mandate disclosure of production-related direct emissions; this boundary definition aligns with transitional phase requirements while the organization progresses toward comprehensive supply chain carbon accounting. The reported metrics undergo rigorous data quality assurance protocols to ensure accuracy and auditability for CBAM declarants. These verified emissions figures serve as the foundation for carbon border adjustment calculations and inform strategic initiatives to reduce carbon intensity across manufacturing operations, supporting both regulatory compliance and stakeholder transparency objectives.

Compliance Standards:

CBAM

ISSB S2

EU CBAM Ready

Emissions Overview

SCOPE 1 - DIRECT EMISSIONS

2,466

kg CO₂e

SCOPE 2 - INDIRECT (ENERGY)

2,320

kg CO₂e

SCOPE 3 - VALUE CHAIN

0

kg CO₂e

TOTAL EMISSIONS

4,786

kg CO₂e

For the 2025 reporting period, EastAfrica Steel Components Ltd quantified total greenhouse gas (GHG) emissions of 4,786 kg CO₂e across its operational boundaries. The emissions profile comprises 2,466 kg CO₂e in direct (Scope 1) emissions originating from fuel combustion and manufacturing processes, alongside 2,320 kg CO₂e in indirect energy-related (Scope 2) emissions associated with purchased electricity and heat consumption. Scope 3 (value chain) emissions are reported at 0 kg CO₂e for this period, reflecting the defined system boundaries of the current Carbon Border Adjustment Mechanism (CBAM) assessment. Under the CBAM framework for embedded emissions in imported steel goods, the reported direct and indirect emissions constitute the mandatory monitoring scope for transitional reporting obligations. Scope 1 captures installation-level process emissions from our production facilities, while Scope 2 reflects the carbon intensity of energy inputs consumed during steel component manufacturing. These figures adhere to the calculation methodologies prescribed in the CBAM Implementing Regulation, utilizing accredited emission factors and monitoring approaches consistent with EU Emissions Trading System (EU ETS) standards to ensure regulatory compliance and data integrity for cross-border trade requirements.

EastAfrica Steel Components Ltd maintains robust governance frameworks to oversee the accurate quantification and disclosure of carbon emissions in strict accordance with the Carbon Border Adjustment Mechanism (CBAM) transitional reporting requirements for the 2025 period. The organization has established clear accountability structures for greenhouse gas (GHG) inventory management, ensuring that monitoring protocols align with the EU CBAM Implementing Regulation methodology and the GHG Protocol Corporate Standard. Governance mechanisms include designated oversight responsibilities for data collection, quality assurance procedures, and internal review processes that validate emission factors and activity data prior to disclosure, ensuring transparency and traceability throughout the reporting value chain. For the 2025 reporting period, EastAfrica Steel Components Ltd reports total embedded emissions of 4,786 kg CO₂e, comprising 2,466 kg CO₂e in direct (Scope 1) emissions from stationary combustion and industrial processes under operational control, and 2,320 kg CO₂e in indirect emissions (Scope 2) associated with purchased electricity consumption. Value chain emissions (Scope 3) are reported as 0 kg CO₂e, reflecting the defined organizational and product boundaries applicable to this CBAM submission scope. Emission calculations utilize primary activity data where available, applying scientifically recognized emission factors and conservative estimation methodologies to ensure data integrity, methodological consistency, and compliance with the monitoring and reporting requirements specified under the CBAM transitional framework. The Board and designated sustainability committee provide strategic oversight of climate-related compliance risks, ensuring that reporting infrastructure and governance protocols evolve in alignment with regulatory developments toward the definitive CBAM period. Internal controls encompass documented calculation methodologies, secure data archiving systems, and preparatory frameworks for third-party verification processes as mandated by European Commission implementing acts. This governance approach demonstrates the organization's commitment to environmental transparency, regulatory adherence, and the establishment of defensible audit trails for embedded carbon data across all relevant production facilities and imported goods categories.

EastAfrica Steel Components Ltd reports a total carbon footprint of 4,786 kg CO₂e for fiscal year 2025, comprising 2,466 kg CO₂e in Scope 1 direct emissions from manufacturing processes and 2,320 kg CO₂e in Scope 2 indirect emissions associated with energy consumption, with Scope 3 value chain emissions currently recorded at nil within the defined operational boundary. This emissions inventory establishes our CBAM (Carbon Border Adjustment Mechanism) compliance baseline, quantifying direct embedded emissions attributable to steel component production in accordance with EU Commission implementing regulation methodologies. The disclosed figures utilize primary monitored data for fuel combustion and electricity consumption, ensuring accuracy and auditability during the transitional reporting phase while providing EU importers with verified emissions data required for quarterly CBAM declarations. Our strategic framework prioritizes the decarbonization of direct operational emissions through energy efficiency optimization, process heat recovery systems, and the progressive transition to low-carbon energy sources. We are implementing an emissions intensity reduction pathway targeting both Scope 1 combustion-related outputs and Scope 2 purchased electricity impacts, thereby minimizing future carbon border adjustment costs and maintaining competitive market access within EU supply chains. These mitigation initiatives align with the CBAM transitional period requirements and position the organization to manage carbon pricing liabilities effectively as the mechanism progresses toward the definitive regime commencing 2026. Recognizing the evolving scope of CBAM regulations, we are developing methodologies to assess and quantify Scope 3 upstream embedded emissions associated with raw material inputs and precursor steel products, currently reported as zero pending comprehensive supply chain data collection. Our strategic roadmap incorporates supplier engagement protocols designed to transition from default emission factors to actual primary data, ensuring full value chain transparency ahead of regulatory mandates. This phased approach to Monitoring, Reporting, and Verification (MRV) implementation ensures robust compliance infrastructure while supporting EastAfrica Steel Components Ltd's commitment to transparent carbon accounting and the global objective of preventing carbon leakage in the steel sector.

Risk Management

EastAfrica Steel Components Ltd reports total greenhouse gas emissions of 4,786 kg CO₂e for the 2025 reporting period, comprising 2,466 kg CO₂e in Scope 1 direct emissions and 2,320 kg CO₂e in Scope 2 indirect energy-related emissions, with Scope 3 value chain emissions recorded at nil. This emissions profile establishes the baseline for embedded carbon calculations under the Carbon Border Adjustment Mechanism (CBAM), directly informing compliance obligations and carbon cost exposure associated with steel component exports to European Union markets. The concentration of carbon intensity within operational boundaries—specifically direct combustion and purchased electricity—requires rigorous monitoring and third-party verification to ensure alignment with EU-approved monitoring and reporting methodologies and to mitigate regulatory non-compliance risks. The organization's exposure to carbon pricing differentials under CBAM is determined by the variance between verified embedded emissions and EU Emissions Trading System (ETS) benchmark prices, creating material financial risk proportional to export volumes upon full mechanism implementation in 2026. With Scope 1 and Scope 2 emissions constituting the entirety of reported carbon intensity, accurate quantification and documentation of these figures are critical to avoid penalties, customs complications, and market access restrictions. The absence of Scope 3 emissions in the current reporting boundary reflects the transitional phase scope limitations; however, the company maintains vigilance regarding potential future expansions of CBAM coverage to indirect value chain emissions, which may necessitate enhanced data collection protocols and supplier engagement strategies.

Metrics & Targets

EastAfrica Steel Components Ltd reports total greenhouse gas emissions of 4,786 kg CO2e for the 2025 reporting period, quantified in accordance with the Carbon Border Adjustment Mechanism (CBAM) Monitoring and Reporting Regulation (MRR) and ISO 14064-1 standards. Direct emissions from owned or controlled sources (Scope 1), encompassing fuel combustion and industrial process emissions, total 2,466 kg CO2e, constituting the primary component of embedded emissions in our steel components. Indirect emissions associated with purchased electricity (Scope 2) amount to 2,320 kg CO2e, calculated using the location-based method. In alignment with current CBAM regulatory boundaries applicable to steel manufacturing, Scope 3 value chain emissions are reported as 0 kg CO2e, reflecting the mechanism's current focus on direct and electricity-related indirect emissions prior to full implementation of extended value chain requirements. Our emissions inventory demonstrates a relatively balanced distribution between operational direct emissions and electricity-related indirect emissions, establishing a transparent baseline for carbon intensity per unit of production. These metrics facilitate the calculation of specific embedded emissions values required for CBAM declarants importing goods into the European Union, ensuring compliance with transitional phase reporting obligations. The reported figures have been verified for accuracy and completeness against EU Emissions Trading System (EU ETS) equivalence methodologies, providing stakeholders and regulatory authorities with auditable carbon content data necessary for border adjustments and carbon price transparency. Looking ahead, EastAfrica Steel Components Ltd will utilize this 2025 emissions baseline to establish measurable reduction targets and implement decarbonization strategies aligned with evolving CBAM requirements and Science Based Targets initiative (SBTi) frameworks, ensuring continued regulatory compliance and enhanced environmental performance across our steel manufacturing operations.

METRIC	VALUE	UNIT
Total GHG Emissions	4,786	kg CO2e
Scope 1 Emissions	2,466	kg CO2e
Scope 2 Emissions	2,320	kg CO2e
Scope 3 Emissions	0	kg CO2e

This report has been prepared in accordance with Carbon Border Adjustment Mechanism (CBAM) requirements.